That means it may be willing to overlook temporary inflation spikes (such as this November's inflation numbers) but also raise rates when sustained low interest rates and low inflation increase threats to financial stability – because a financial crisis could lead to deflation. In other words, the monetary policy committee will not put on blinkers and see just the inflation number. A number of emerging markets have adopted some form of targeting, while 'non-targeters' like the Federal Reserve target inflation in all but name, including putting a number to its goal of price stability.

In the remaining time, I want to present one more issue that has many commentators exercised – they say the real problem is food inflation, how do you expect to bring it down through the policy rate? The simple answer to such critics is that core CPI inflation, which excludes food and energy, has also been very high, reflecting the high inflation in services. Bringing that down is centrally within the RBI's ambit. But I will argue that monetary policy is not irrelevant even in controlling food inflation, though clearly, the government also has an important role to play.

1. ROLE OF FOOD PRICES IN THE HIGH INFLATION EXPERIENCE OF RECENT YEARS

Headline inflation measured by the new CPI has remained in double digits during April 2012 to January 2014, averaging 10 per cent over this period. Food inflation, which has a weight of 47.6 per cent in the index, has contributed the largest share of headline inflation. Food inflation itself has stayed in double digits throughout this period, edging down to 9.9 per cent only in January 2014.

2. WHY ARE FOOD PRICES HIGH?

Although domestic production has increased steadily, barring reversals in 2009-10 and 2012-13, this has not been reflected in a softening of food prices. Let us try and understand why.